

This Time is Different:

The Use of Macro Prudential Policies to Combat Macro Fluctuations

Section 1

As the recovery from the Covid-19 induced recession slows due to globally rising inflation, the Federal Reserve has engaged in its most aggressive monetary tightening in forty years. In one year, the Federal Funds target rate increased from 0-0.25% to 4.75-5%. This unprecedented aggressive policy has sparked debate about the effectiveness of monetary policy and the risks it creates in the economy. These concerns are not new, and an analysis of similar historical periods of macroeconomic instability will show how the development of new economic tools to mitigate sudden fluctuations will be effective in protecting the broader economy from inflation and a hawkish Federal Reserve.

This new class of tools designed to stabilize global markets and protect them from liquidity shocks are called Macroprudential policies. This umbrella of tools has two main objectives: “(i) to mitigate the procyclical feedback between credit and asset prices and to contain unsustainable increases in leverage, and (ii) to increase the resilience of borrowers and lenders to aggregate shocks” that allows policymakers flexibility when responding to crises (Ekinçi and Özcan 2022, 775).

Macroprudential policies work differently than fiscal or monetary policy, as they are more directed than broad monetary or fiscal policy. However, they are less directed than microprudential policies, which may target only a single firm. Policy makers have a range of options depending on what the situation requires: “Countries use a variety of tools, including credit-related, liquidity-related, and capital-related measures to address such risks, and the choice of instruments often depends on countries’ degree of economic and financial development,

exchange rate regime, and vulnerability to certain shocks” (Lim et al. 2011, 4). Tools utilized fall under two categories: cyclical and structural. Cyclical policies focus on maintaining streams of credit for markets and into countries preceding downturns. Lending facilities, activated temporarily or standing, operated by central banks, or international agencies – like the World Bank – fall under this category. Structural policies focus on supporting the borrower-lender relationship during economic downturns. These policies include capital-level requirements or portfolio-risk limits for Globally Systemically Important Banks (Edge, Liang, and Sheiner 2020). The main advantage of these policies is they are adaptable to the situation and easy to implement. Indeed, policy makers view these tools favorably because they are less blunt than monetary tools and are more flexible (with smaller implementation lags) than most fiscal or monetary tools (Lim et al. 2011). Although individual countries have always practiced macroprudential policy through banking regulation, it was only in the 1980s that the G-20 began setting international standards for macroprudential coordination. This cooperation has been strengthened and expanded in the forty years since.

There is vast literature on the effectiveness of these policies published in the 12 years since the Financial Crisis (Edge, Liang, and Sheiner 2020; Ekinici and Özcan 2022; Lim et al. 2011); however, few papers have addressed their effectiveness in the specific circumstances faced today. Section two of this paper will examine extreme Dollar appreciation – what causes it, how it has been addressed in the past, and how macroprudential policies can mitigate its effects. Section three will compare the financial crisis of 2008 to the bank failures of March 2023 to show how policy developed in 2008 will be effective in protecting the economy from a recession.

Section 2: Dollar Appreciation

Due to the Federal Reserve's interest rate hikes, the U.S. Dollar appreciated over twenty percent against the Euro between March and October 2022. This sudden increase of relative purchasing power of the Dollar shocked the global economy, sending the Eurozone into a Current Account deficit during that same period. This situation also occurred in the 1970s and 80s. Between 1980 and 1985, the Dollar appreciated nearly fifty percent against the Japanese Yen, Deutsche Mark, French Franc, and British Pound. Following the OPEC oil crisis and high inflation of the late 1970s, Federal Reserve Chairman Paul Volcker employed aggressive monetary tightening to combat inflation while President Reagan pursued fiscal expansion to initiate economic growth. Together, these actions increased long-term interest rates which attracted foreign investment into the US, which appreciated the Dollar against its foreign counterparts (Frankel 2015, 3). The relative price increase for American goods suppressed foreign demand, thus deepening the US's current account deficit at the cost of the current account surpluses of many European countries. US economists suggested that the Dollar's surge in value was due to the Federal Reserve's aggressive rate hikes during the beginning of the decade; however, theory lost favor with many economists when the Dollar appreciated an additional 17 percent between early 1984 to February 1985, after the Federal Reserve slowed rate increases. This exposes a weakness with monetary policy: it is easy to quickly alter market equilibria by aggressively increasing interest rates and difficult to correct these distortions.

Similarly, economists struggle to stabilize economies experiencing high levels of inflation and current account deficits, a phenomenon Kılınç, Tunç, and Yörükoğlu (2016) call the Twin Stability Problem. Traditionally, debt burdens become a larger share of a government's spending when their relative purchasing power falls – especially for debt stricken or emerging market economies who lack the fiscal power of a developed country. But under extreme market

shocks, developed countries can also struggle to repay their debt burdens. This was evident in 1985 and following the Covid-19 recession, as countries in debt to the United States struggled to meet their debt obligations. This created a negative feedback loop as many European countries faced these dual imbalances: “As high current account deficit countries experienced larger depreciations of their currencies, such larger depreciation would be expected to feed into domestic prices” (Kılınç, Tunç, and Yörükoğlu 2016, 366). Fiscal and monetary policies alone are ineffective at alleviating debt burdens and inflationary pressures.

Faced with the relative devaluation of their currencies and struggling to cope with the Dual Stability Problem, the leaders of the G-5 nations (United States, Japan, West-Germany, France, and Great Britain) met in 1985 at the Plaza Hotel in New York and agreed to depreciate the Dollar under the Plaza Accords. Between 1985 and 1987, the Dollar depreciated some 40 percent against the other G-5 currencies, and eventually their current account deficit reduced as their goods once again became competitive in foreign markets (Frankel 2015, 2). Although the Plaza Accords achieved its primary goal of stabilizing the currency market and countries’ current accounts, many economists regard this unprecedented global coordination as simple currency manipulation that ignores underlying variables within the market and set a dangerous precedent for market manipulation.

Indeed, the shortfalls of monetary policy have necessitated the development of new policy tools that go beyond what monetary can achieve (Lim et al. 2011, 370). These tools, known as Macroprudential Policies, seek to provide stability to the global financial system. There is evidence that macroprudential policies are effective at stabilizing economies suffering from crises due to current account deficits or exchange rate depreciation.

The purpose of macroprudential policy is to dynamically respond to risk within a market and ensure adequate liquidity is available during all parts of the business cycle. Ekinici and Özcan (2022) examined data from over 200 instances of macroprudential policy use and concluded that “empirical evidence suggests capital flow volatility has decreased after using macroprudential policies more intensively, especially for emerging market economies” (Ekinici and Özcan 2022, 769). The purpose of macroprudential policy, then, is to reassure investors that a country’s macroeconomic base is stable during periods of instability.

To achieve this, policy makers employ both structural and cyclical policies. Structural tools begin reducing risk before instability occurs. Establishing policies such as reserve ratios for banks or purchasing requirements for bonds “can reduce the build-up and amplification of risk to make an economy more resilient to shocks, and easing macroprudential policy in response to a shock can alleviate financial and economic stress.” (Bergant and Forbes 2021, 3). Structural policies can be used to combat inflation by influencing the money supply by raising bank reserve requirements or closing lending facilities. This, taken with monetary policy, can blunt inflation and stabilize the price level, which will equalize exchange rates – lowering relative price levels and increasing foreign demand for goods and services and creating a positive feedback loop (Nier, Olafsson, and Rollinson 2020, 6).

Cyclical policies ensure that liquidity is available to all parts of the economy during a crisis. This can be done domestically through central bank lending facilities to its banking sector or from foreign governments and NGOs to countries in need. These facilities project confidence to investors that the system will not fail, thus preventing capital flight. Indeed “policies to reduce credit demand and excessive leverage also help with the high current account deficits” by ensuring a steady flow of liquidity toward markets in distress (Ekinici and Özcan 2022, 775). The

necessity for developing countries to maintain ample reserves of foreign currency to protect from shocks is imperative, as they typically have larger sums of foreign debt and deeper current account deficits. Helping low-income countries maintain reserves of foreign currency, especially Dollars or euros, is vital for protecting them from exchange rate crises, speculative attacks, debt defaults. While these funds are not long-term solutions to addressing macroeconomic imbalances, they offer support and a semblance of credibility to investors that central banks have the liquidity needed to avoid collapse.

Since the onset of the Covid-19 Pandemic, the IMF has opened new lending facilities tailored to specific needs as they arise, such as Rapid Credit Facility, which opened in October 2022 to meet the needs of low-income countries struggling with inflation and balance of payment crisis due to shocks from the market (“IMF Rapid Credit Facility (RCF)” 2022). The lending facilities operated by NGOs, along with those offered by the US Federal Reserve and the European Central Bank play a vital role in ensuring ample liquidity.

It is important to note that effective economic policy will continue to employ fiscal and monetary tools, “monetary policy, macroprudential policies, and fiscal policies form an interlocking whole, and—given the interdependence of these policies—some degree of coordination is required” (Kamber, Karagedikli, and Smith 2015, 406). Policy makers should not rely solely on macroprudential policy, but instead use it in conjunction with traditional tools to best address unique situations. Macroprudential policy is effective because policy makers can rapidly deploy both structural and cyclical policies during emergencies.

Section 3: Banking Crises

In 1988, global monetary policymakers convened in Basel, Switzerland to establish universal standards for banking regulation. Policy synchronization has not come easy, as three

rounds of the Basel Accords have been required, each prompted by macroeconomic instability. Basel I prescribed a minimum capital requirement for banks of 8%. In 1999, at a meeting dubbed Basel II, policy leaders approved global standards for banking supervision and reporting to address continued risk from over leveraged balance sheets. Most recently, Basel III was held following the Financial Crisis because “the banking sector entered the financial crisis with too much leverage and inadequate liquidity buffers. These weaknesses were accompanied by poor governance and risk management, as well as inappropriate incentive structures” (“History of the Basel Committee”, n.d.). These reforms, published in 2010, are the most comprehensive international standards for banking. Basel III represents the global financial sector realizing the need to strengthen regulation through capital requirements, liquidity requirements, and countercyclical capital buffers. Countercyclical buffers serve to “counter procyclicality in the financial system” by increasing capital requirements for banks when risk is judged to be increasing (“Countercyclical capital buffer” 2022). These policy improvements have been effective in managing the increased risk and are the first true coordination of structural macroprudential policies.

It is in the banking sector that these structural policies are most important; indeed, “strengthening macroprudential policy can reduce the build-up and amplification of risk to make an economy more resilient to shocks, and easing macroprudential policy in response to a shock can alleviate financial and economic stress” (Bergant and Forbes 2021, 3). Robust structural policies ensure that banks maintain liquidity to prevent banking crises – which has been largely true since the inception of the Federal Reserve after the Great Depression. What each banking crisis has exposed since 1929 are more areas that require supervision, such as the degree of

acceptable leverage. The ability for central banks to tighten or loosen these policies as they see fit, within globally accepted standards, is essential to macroprudential tools's underlying power.

Following the 2008 Financial Crisis, central banks universally maintained low interest rates in an attempt to generate economic growth. Both the United States and the European Central Bank feared that raising interest rates would deprive the financial sector of access to needed liquidity. In response, The Bank of International Settlements (BIS), which helps coordinate global monetary policy, issued a warning as part of their 2010 Annual Review that this relaxed monetary policy created new risks to the economy. They explained that “policymakers will need to consider the distortions caused by prolonged conditions of monetary ease. After all, sustained low-interest rates have been identified by many as an important factor that contributed to the crisis” as banks increased their holdings of risky assets (“80th Annual Report” 2010, 37). Macroprudential tools can work contrary to monetary policy, to grow the money supply by lowering reserve ratios or banks' leverage requirements. These policies are easily and quickly adjustable should market conditions change and allow central banks to continue their hardlined monetary policy of quantitative tightening.

The Federal Reserve has engaged in cyclical macroprudential policies through emergency lending facilities since the Great Depression, but it has improved the effectiveness of these operations through practice. During normal times, the Discount Window is the primary source for banks to secure liquidity from the Federal Reserve. In 1932, this lending was extended beyond member banks to any financial institution facing economic pressure. During the Financial Crisis, the Federal Reserve opened several liquidity facilities that provided emergency liquidity to financial institutions. Through its first lending facility, the Term Auction Facility, loans were “fully collateralized by standard discount window collateral” (Weinberg 2015), but as

more facilities opened to address different points of weakness across the financial system, collateral requirements evolved to accept Treasuries, Loans, Mortgage Backed Securities, and Asset Backed Securities.

During the Crisis, The Federal Reserve also opened the U.S. Dollar Liquidity Swap Line between itself and other central banks to ensure they had access to Dollars. Under this program, a foreign central bank would trade their currency for Dollars at the market exchange rate, and also agree to buy back its currency using Dollars on a future date at the current exchange rate. This facility operated from December 2007 to February 2010. In May 2010, it was reestablished as a standing facility, with the ability for the Federal Reserve to obtain foreign currency by the same means (Weinberg 2015). These lending facilities show the ability of the Federal Reserve to adapt to changing market conditions and open effective liquidity facilities.

On March 8, 2023 Silicon Valley Bank reported taking a \$1.8 billion loss from selling assets to cover increased withdrawals. They intended to raise \$2.25 billion from selling stock over the coming weeks to maintain liquidity. On March 9th, the banking industry lost over \$52 billion in market value as Silicon Valley Bank depositors attempted to withdraw \$42 billion in the largest run on the banks since 2009 (Eisen 2023). On March 10, the FDIC took control of Silicon Valley Bank; it was the second largest bank in US history to fail. On Sunday March 12, the FDIC took control of Signature Bank – the third largest bank failure in US history – and the Federal Reserve announced the establishment of the Bank Term Funding Program (BTFP) to ensure liquidity for surviving banks.

Learning from past macroprudential policy implementation, the Federal Reserve acted immediately to create its most forceful liquidity facility in history. The BTFP offers loans to any financial institution for up to one year with collateral of US Treasuries, agency debt, or Mortgage

Backed Securities. The loans are paid based on the principal investment of the collateral, if it is now below market value. This is because US banks held \$1.7 trillion in unrealized losses at the end of 2022 (Drechsler, Savov, and Schnabl 2023, 6). On March 19, 2023, the Federal Reserve, the Bank of Canada, the Bank of England, the Bank of Japan, the European Central Bank, and the Swiss National Bank increased the frequency of Dollar availability in their standing U.S. Dollar Liquidity Swap Line facility from once a week to every day until at least April – another policy to increase liquidity for the market, specifically the availability of Dollars. These policy choices were made because policy makers understand that “by focusing on the health of the financial system as a whole, macroprudential policy can improve the authorities’ grasp of the intricate web of connections between financial institutions, financial markets, and the macroeconomy” (Viñals 2011). Offering liquidity is the most important thing central banks can do during periods of instability.

On March 22, the Federal Reserve continued its aggressive action against inflation by increasing interest rates 25 basis points. Their ability to do this a week and a half after the US’s second largest bank failure speaks to their confidence in macroprudential policies. It is important to note that Silicon Valley Bank’s failure and the 2008 Financial Crisis have different underlying causes and risks. Former President of the New York Federal Reserve William Dudley explained that if this systematic risk is “limited to a relatively few number of banks and the underlying problem is not innate in the economy like it was during the global financial crisis, then I don’t think there is a strong case for the Fed to stop hiking” (Timiraos, Ackerman, and Duehren 2023). Nevertheless, Federal Reserve Bank of St. Louis President James Bullard explained on March 24th that the macroprudential policy response has been “swift and appropriate” in alleviating systemic instability within the financial sector. He believes utilizing macroprudential policy to

maintain stability will allow for continued monetary tightening: “Continued appropriate macroprudential policy can contain financial stress, while appropriate monetary policy can continue to put downward pressure on inflation” (“St. Louis Fed's Bullard Presents 'Financial Stress and the Current Macroeconomic Outlook’” 2023). This remains a fluid situation, but the Federal Reserve seems committed to utilizing macroprudential policies while continuing monetary tightening – a prescription that could not have happened during either the macro crisis of 1985 or 2008.

The International Monetary Fund keeps updated recommendations for global policymakers to ensure they are prepared for risks. Their most current recommendations for policy makers, published before the Silicon Valley Bank failure, state that “Countries must preserve vital foreign reserves to deal with potentially worse outflows and turmoil in the future. Those with large foreign-currency debts should reduce foreign-exchange mismatches by using capital-flow management or macroprudential policies, in addition to debt management operations to smooth repayment profiles” (Gopinath and Gourinchas 2022). The IMF advocates to keep cyclical macroprudential channels of liquidity available for countries that need support.

Section 4: Conclusion

The recent monetary policy in the United States to combat rising inflation has appreciated the Dollar against the Euro to a level not seen since 1985 when the G-7 agreed to devalue the Dollar in an unprecedented act of international policy cooperation aimed at stabilizing the current account of European nations. Such drastic policy is no longer needed, with the advent of macroprudential policy following the Financial Crisis of 2008. When utilized correctly, these are powerful tools for economists. These tools are adaptable to varying situations and can be enacted and changed quickly. Although they are relatively new tools, they have been shown to be

effective. Through global coordination, the international community can use macroprudential policy with monetary and fiscal to stabilize inflationary pressures, guide exchange rates and current accounts toward a sustainable level for continued economic growth, and effectively combat the Twin Stability Problem. The recent bank failures and decision by the Federal Reserve to remain hawkish scores their belief that macroprudential policies will be effective in preventing substantial financial instability. Further research needs to be done on the effects specific policy tools will have, both alone and in coordination with different monetary and fiscal variables. Understanding these interactions will make macroprudential tools even more effective in addressing future crises.

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